

and prudence. The economy has shown faster recovery in sectors which rely on domestic growth and consumption, while recovery is expected to gain speed by mid-2010 in sectors which have global dependence. This growth, and the fact that 2009 saw a lot of salary freezes and cuts, are providing an impetus for healthy increase in compensation."

And no, the double-digit salary increase has nothing to do with inflation. Corporate India is in high spirits as the signs of economic revival look real. All those working in sectors such as energy, telecom, pharmaceuticals and construction can expect fancy increases because the sun is surely smiling a tad more on these businesses compared to IT and ITES, which are indexed to the US economy and will take a bit longer to come out of the woods.

In 2009, the dispersion range, or the range of increment, was between 0 and 9 per cent. So some sectors that recorded growth showed generosity while others chose to restrict salary hikes. This year, the difference has narrowed, as the range of dispersion is between 7 and 12 per cent. So, the lowest increment that India Inc is expected to give is 7 per cent. And the middle management and junior-level employees stand to gain the most as the highest increases will be given to these segments.

Unlike the past, working for an MNC is no longer considered to be financially more rewarding. Indian companies, in

4 TOP INDUSTRIES WITH MAXIMUM CHANGE IN SALARY INCREASE PROJECTIONS

INDUSTRY	INCREASE IN 2009	EXPECTED INCREASE IN 2010
Information Technology	2.9%	8.9%
Retail	4.1%	11.1%
Banking/ Finance/ Insurance	5.1%	10.5%
Engineering/ Procurement/ Construction	6.9%	12.6%

insure themselves against bad times. While companies are offering the moolah, they are at the same time becoming fiercely performance-driven and are increasingly using variable pay as a strategic lever to make employees more accountable.

The one definitive change in compensation philosophy is to reinforce the performance and reward linkage, where top performers have received twice as much salary hike as paid to average performers. Chaudhary says, "In keeping with the focus on cost and performance, variable pay as part of total compensation continues to grow with 24.8 per cent of top executive pay coming through this route and even the lowest rung officer cadre getting 11.3 per cent of their salary in variable compensation."

Chaudhary suggests that organisations need to move away from the conventional wisdom on pay management and single-point reliance on market



7 per cent is the lowest increment that India Inc is expected to give this year. In 2009, the range of increment was between 0-9 per cent, which has now narrowed to 7-12 per cent.

a bid to attract world-class talent, have emerged as more competitive pay masters than MNCs. Also, with the rest of the world still struggling to shake off the recession, high increases are not a probability for those working in MNCs.

Clearly, sectors riding the growth wave will continue to see hefty bonuses and fancy salary hikes. But even for those which are not riding the wave, the optimism of 8 per cent-plus GDP growth is keeping spirits high. And those companies which are sitting on the fence are choosing to split salary hikes into two components. While one part of the increase will be issued upfront as part of the fixed component, a deferred bonus will kick in as a retention tool in the latter part of the year.

But corporate India is not going back to the profligate days of 2007. Having realised the advantages of target variable pay, companies are expected to increase this component to

and benchmark information. Reward strategies, he says, need to be customised to every organisation's affordability, talent strategy and performance over mid to long term. Companies will have to look at what lifestage they are in and accordingly look at the retention tools. For instance, with new players coming into telecom, the compensation offered by them may be very attractive but employees are more cautious in the aftermath of a recession. Today, it's not just about a little more money. It's also about quality of organisation and its culture. Says Ashok Ramchandram, president of human resources at Vodafone, "Given that consolidation is around the corner, employees are choosing responsible employers in the sector over money."

Both employers and employees seem to have learned their bitter lessons in the last two years. Clearly, it's not all about money. ■

Organisations in India are positive and are looking at measured, realistic growth, but with a keen eye on cost consolidation and prudence.

SANDEEP CHAUDHARY, *Hewitt Associates*

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ASHOK RAMCHANDRAM, *President of human resources, Vodafone*